7	Branch Name (The branch where the person who is signing the cheque is having the account)	State Bank of India (11715) KODUNGAIYUR, CHENNAI -600118
8	Cheque Number	655887
9	Mode of Payment	A/C Payee

Do You Know?

- The Cheque was introduced in India by the Bank of Hindustan the first joint stock bank established in 1770.

4. Demand Draft

Demand Drafts is a pre-paid instrument, wherein bank by whom the DD has been made undertakes responsibility to make full payment. DD is valid for 6 months. Demand draft is accepted where the transfer of money is guaranteed. As most of the individuals make payments through the RTGS, NEFT, IMPS mechanism demand draft is losing it's place. But still application for job, examinations, admissions, services, high amount purchases etc. requires demand draft rather than cheques.

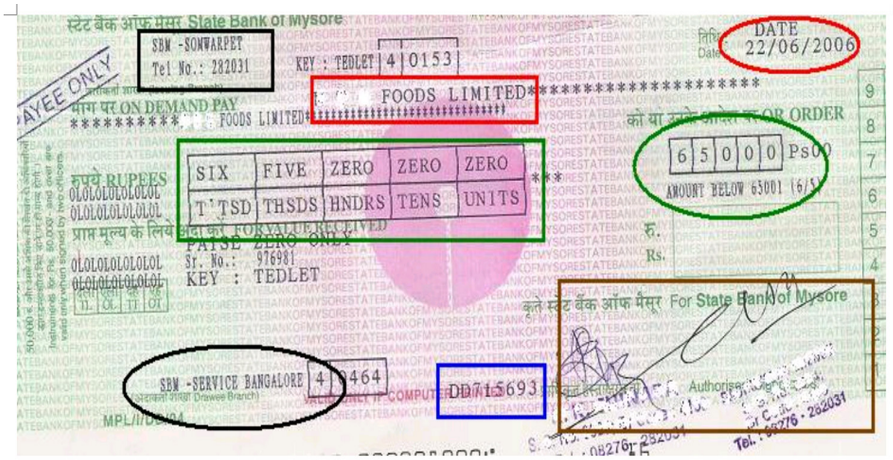


Fig.9.15. Demand Draft

Enclosed within the figure	Entry in the DD	Details
Black rectangle at the top left	SBM - Somwarpet	The branch of bank issuing the DD
Red Rectangle against 'ON DEMAND PAY'	FOODS LIMITED	The party which gets the amount specified in the DD

OSS_EM_Chapter_9.indd 160 01-03-2019 10:46:45